We model the economy and markets; we create Monte Carlo simulations of how our portfolios will perform over time. We interact with artificial constructs of our own making, sometimes ignoring they are at best inauthentic representations.

It's easy to get lost in the usefulness of models, forgetting their wrongness. Understanding this helps us better manage the never-ending stream of model-generated data on consumer spending, employment situation, wages, inflation, earnings, etc.

5. "Nobody knows anything"—William Goldman

We spent time with Goldman in our chat on *Bad Advice*. Whenever you hear an expert confidently explaining what's going to happen in the future, it's worth your time to recall his brilliant, humble, and counterintuitive insight.

Once you recognize how little the experts (and the rest of us) know, you come to recognize how much humility investing requires. Accept the wisdom of recognizing our collective ignorance, and you will soon see how much better off you will be then if you were both wrong and unaware of it.

6. "The whole problem with the world is that fools and fanatics are always so certain of themselves, and wiser people so full of doubts."—Bertrand Russell

Those who are the least knowledgeable are often the most cocksure about their own skills, abilities, and beliefs. This is an especially expensive error to make in trading and investing. Recall the attitudes of meme stock traders during the pandemic lockdown, or meme coins before that, or dotcoms before that. This is the Dunning-Kruger effect writ large.

It takes skills to understand the risks and challenges of any endeavor. No wonder wise people harbor doubts—they can better see the entirety of a challenge. Or as Charles Darwin wrote, "Ignorance more frequently begets confidence than does knowledge."[116]